

MUTUAL FUNDS

with the most sustained and strongest bull-run Indian capital markets have ever witnessed. Voila!—everyone is interested in this money machine that promises more safety than direct equity and higher returns than other financial products. And it hasn't disappointed. Sample this, diversified-equity funds rewarded investors with an average 51 per cent return last year, higher than the high-decibel rise in the Sensex of 45 per cent during the same period.

This was it. The perfect investment vehicle for the risk-averse Indian. It had something for investors of all risk profiles—equity funds for daredevils, balanced funds for those who want to play a little safe and debt funds for the ultra-conservative. Not just that, in recent months it has become the single-window entry for investment in all asset classes—stocks, bonds, insurance, real estate, gold, you name it. Some, like the equity-linked-savings-schemes (ELSS) qualify for tax exemptions that make them even more attractive. No wonder then that experts have started talking of portfolios composed entirely of different mutual funds.

And if you think funds are big only with the richie richs of the world, you haven't heard of systematic investment plans. All it takes is Rs 50 to start investing. That's a cheap entry ticket to the investment party. Plus, these staggered payments reduce risk further in volatile times. What's more, the best minds work on investors' money for a reasonable fee of 2-2.5 per cent of the total assets under management (AUM) of mutual funds. Recently, there has been a proposal to remove this entry load altogether for investors approaching mutual fund companies directly. If this happens, it will effectively mean hiring fund managers for free.

Little wonder then that on November 31, total AUM

of mutual funds was worth, hold your breath, Rs 5.4 lakh crore—a growth of 89 per cent in one year (October '06-October '07) and more than double of what it was just a year and a half ago. But wait a minute, if all is hunky dory, why are only 3 per cent of household financial savings invested in mutual funds? In the US, over 20 per cent of people's savings are invested in them.

The reason why we are still going gaga about mutual funds is hidden within these very statistics. First, let's put them in context. Understand that we are talking of an investment vehicle that started off with a disaster—remember US-64 in 2001? Mutual funds were slowly creeping out of that nightmare when stock markets stagnated and in early 2003, the AUM of funds actually witnessed a fall, implying a net disinvestment from mutual funds. But by the end of 2003, a combination of better regulation, innovative products and a continued rally in stock prices put funds on a high-growth trajectory.

Today, there are over 800 mutual fund schemes to choose from and there is hardly a day when there is no new fund offer. There are

32 asset management companies at present in the country and 16 more firms from across the world are waiting to set up shop in India. All this when the industry has barely scratched the surface—80 per cent of all mutual fund investment comes from the top 10 cities.

It is almost certain that fund houses will seek more investors, a large proportion of them coming from outside the big cities. For more than a year now, UTI (Unit Trust of India) Mutual Fund has run a micro-pension scheme for members of the non-governmental organisation SEWA (Self-Employed Women's Association) where women invest as low as Rs 50 every month. A mix of push factors, fund companies selling their schemes aggressively, and pull factors, growing investor awareness about funds, kindle hope that mutual funds in India are at an inflexion point of the kind American funds were at back in 1980. In that year, only 3 per cent of Americans' savings was invested in funds. In the next 20 years, that figure zoomed to 20 per cent. An encore in India is quite likely.



89%

is the growth in total assets of Indian mutual funds over the last one year

51%

was the return of diversified-equity funds last year in India

PRATIP KAR, executive director, SEBI, 1997

"Risk-averse investors are bound to respond to income and money market funds."